

CONFIDENTIAL SETTLEMENT AGREEMENT AND MUTUAL RELEASE

Dawson v. Meridian Mechanical Services, LLC
Hillsborough County Circuit Court Case No. 24-CA-008815

This Confidential Settlement Agreement and Mutual Release (the "Agreement") is entered into as of November 14, 2025 (the "Effective Date") by and between Carla Dawson ("Plaintiff") and Meridian Mechanical Services, LLC (the "Company").

RECITALS

Plaintiff filed the above-captioned action alleging that a water heater installed by the Company at Plaintiff's residence in 2023 failed and caused water damage to the property (the "Action").

The Company denies all liability. The parties wish to resolve the Action fully and finally to avoid the expense and uncertainty of further litigation.

NOW, THEREFORE, in consideration of the mutual promises below, the parties agree as follows:

1. Settlement Payment.

In full settlement of the Action, Plaintiff shall receive the gross sum of \$185,000.00 (the "Settlement Payment"). The Settlement Payment shall be paid by the Company's commercial general liability insurer, Coastal Risk Insurance, on the Company's behalf within thirty (30) days after the Effective Date. The Company shall have no obligation to fund any portion of the Settlement Payment.

2. Defense Costs.

The Company acknowledges that its defense costs in the Action fall within its \$100,000 self-insured retention under the Coastal Risk Insurance policy and that no reimbursement of defense costs is due from the insurer.

3. Dismissal.

Within five (5) business days after receipt of the Settlement Payment, Plaintiff shall file a stipulation of dismissal of the Action with prejudice.

4. Mutual Release.

Each party releases the other, and the Company's members, managers, officers and employees, from all claims arising out of the installation, the water damage and the Action, known or unknown, through the Effective Date.

5. No Admission of Liability.

This Agreement is a compromise of disputed claims and is not an admission of liability or wrongdoing by any party.

6. Attorneys' Fees and Costs.

Each party shall bear its own attorneys' fees and costs incurred in connection with the Action.

7. Confidentiality and Non-Disparagement.

The parties shall keep the terms of this Agreement confidential, except as required by law or for tax, accounting or insurance purposes, and shall not disparage one another.

8. Governing Law.

This Agreement is governed by the laws of the State of Florida.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

PLAINTIFF

By: /s/ Carla Dawson

Name: Carla Dawson

Title: Individually

Date: November 13, 2025

MERIDIAN MECHANICAL SERVICES, LLC

By: /s/ Richard Castellano

Name: Richard Castellano

Title: Chief Executive Officer

Date: November 14, 2025